



12/15/2025

Sri Lanka NDP Renewed Prosperity (2026-2031)

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1.0 EXECUTIVE SUMMARY

We are a team of policy analysts tasked with developing a practical and forward-looking National Development Plan (NDP) for Sri Lanka. Our audience includes government ministries, international development partners, civil society organizations, private-sector investors, and community stakeholders who will play a role in shaping and implementing Sri Lanka's development pathway over the next five years. Our NDP is written to guide policymakers, inform partners, and ensure that the priorities of the Sri Lankan people remain at the center of national planning.

Sri Lanka is trying to recover from one of the most severe economic crises in its post-independence history. Our National Development Plan (NDP) outlines a five-year strategy from 2026 to 2031 to stabilize the economy, strengthen climate resilience, and improve social well-being. Our main goal is to help the country recover from its economic crisis and structural issues, protect vulnerable people, and build systems that will last.

One key lesson from past national plans is that they failed mostly because of weak leadership, poor coordination, and inconsistent policy. Ministries worked in isolation, policies were not properly implemented, and important actors like civil society and local communities were not included in decision-making. As a result, Sri Lanka continued to face rising poverty, youth unemployment, brain drain, climate pressure, and wide gaps in the health and education sectors. Our NDP directly responds to those weaknesses by focusing on better governance, stronger execution, and clear accountability.

Our first goal of the NDP is economic and political prosperity. Sri Lanka needs to rebuild investor confidence, expand trade, and create sustainable, local jobs for its citizens. Youth and women still struggle to find work, and many graduates feel forced to migrate. Our plan focuses on fixing the skills mismatch, improving training systems, and supporting local industries such as ICT, Small and Medium-Sized Enterprises (SMEs), and tourism, so young people can build a future in Sri Lanka instead of abroad.

Our second goal is climate prosperity. Agriculture is the source of income for many rural families, but climate change is disrupting rainfall, destroying crops, and increasing poverty. Farmers are struggling with droughts, floods, and land degradation. Our NDP promotes climate-smart farming, better irrigation, sustainable land use, and stronger support for small-scale farmers. It also aims to reduce dependence on fossil fuels and expand reliable, clean energy sources to cut costs and reduce carbon emissions.

Our third goal is social sector prosperity. While Sri Lanka has strong foundations in education and health, the crisis pushed many families into hardship. Child wasting, malnutrition, medicine shortages, and unequal access to education have become major problems. Our NDP aims to rebuild nutrition programs, improve access to essential healthcare, and reduce the education gap between rural and urban areas. It supports vulnerable students through targeted scholarships and aims to restore learning quality. Finally, we identify proposed strategies to address issues in four key sectors, provide practical implementation guidelines, and discuss potential challenges.

2.0 INTRODUCTION

Sri Lanka is a lower-middle-income island nation with 22 million people. The current president is Anura Kumara Disanayake, who serves as the 10th president. The country is emerging from one of the most severe economic crises in its post-independence history. As the country moves into a new development phase, our National Development Plan (NDP) sets out a 5-year strategy focused on economic and political stabilization, climate prosperity, and social sector prosperity. The purpose of this NDP is to outline a coordinated national pathway that restores growth, protects vulnerable populations, and builds long-term resilience against environmental, political, and financial risks.

Figure 1: Top 10 Priorities in NDP

NDP Goals	Top Priorities
Economic/Political Prosperity	Trade/Foreign Direct Investment
	Poverty
	Labor Market and Unemployment*
	Corruption
Climate Prosperity	Agriculture Sector*
	Energy: Electricity
Social Prosperity	Health: Malnutrition and Healthcare Access*
	Education*

The key sectors of this National Development Plan (NDP) are bolded in the chart above. It is important to address Sri Lanka's baseline progress within the ten different priorities that tie together economic, climate, and social development. However, this NDP will focus on strategies to address the issues in four of our chosen key sectors: labor market, agriculture, health, and education.

3.0 LESSONS FROM PREVIOUS NDP AND CURRENT OBSTACLES

Sri Lanka's previous development strategies, including those outlined in the recent Sustainable Sri Lanka 2030 Vision and Strategic Path, struggled because of weak governance, poor implementation, and inconsistent policy. Although the plans themselves were strong, the government lacked the institutional capacity to execute them effectively, with persistent

coordination failures across ministries, limited communication between agencies, and weak mechanisms for long-term policy continuity.

These structural weaknesses were affected by recurring fiscal deficits, a heavy debt burden, limited export diversification, persistent rural poverty, widening inequality, and labor shortages in key sectors, such as agriculture. Social constraints further hindered progress, including weak labor market planning, high out-migration of skilled workers, gender disparities, and unequal access to quality education and healthcare.

Environmental strategies also underperformed due to weak inter-agency coordination, inefficient resource use, and fragmented policy oversight, particularly in climate adaptation strategies. From an NGO perspective, the obstacles to financing climate adaptation and mitigation policies include insufficient data and capacity, leading to implementation issues.¹ Besides funding issues, Sri Lanka faces challenges in attaining multi-level governance coordination and public participation in its climate initiatives.² As a result, there is limited involvement of civil society groups.³ These gaps created risks for sectors dependent on natural resources, especially vulnerable populations in agriculture.

The core lesson is that Sri Lanka's development plans failed because of insufficient governance capacity, institutional alignment, and implementation systems. As policy advisors, we are creating an alternative plan that accounts for gaps in previous national plans while acknowledging structural weaknesses. To achieve a sustainable impact and prevent underperformance, this NDP aims to improve policy coordination, strengthen execution capabilities, and better address the social, economic, and environmental vulnerabilities that Sri Lanka has long dealt with.

4.0 BASELINE ASSESSMENT 2025

4.1 NDP Goal 1: Economic and Political Prosperity

Aligned SDG:

SDG 8 – Decent Work & Economic Growth, SDG 1 (End Poverty), SDG 10 (Reduced Inequalities), SDG 17 (Partnerships), and SDG 9 (Industry, Innovation & Infrastructure).⁴

What is the Agenda Goal?

The agenda goal under this section is to strengthen Sri Lanka's post-crisis economic recovery by addressing the core constraints limiting trade competitiveness, foreign investment, employment, and household welfare. It focuses on improving external-sector resilience, creating a labor force aligned with market demand, and reducing poverty through sustained, inclusive, and export-oriented growth. This involves deepening structural reforms, enhancing investor confidence, and strengthening social protection so that economic stabilization translates into widely shared prosperity.

Current Issues in Sri Lanka – Economic and Political Concerns

4.1.1 Trade and Foreign Direct Investment

Sri Lanka's external sector continues to operate under the problem of the post-2022 foreign debt crisis, which significantly constrains trade competitiveness and FDI inflows. The country is under a US\$3 billion IMF Extended Fund Facility (EFF) launched in 2023, with the third review approved in early 2025, bringing \$334 million USD to support ongoing reforms.⁵ According to the World Bank, although external balances have improved, the economy is still vulnerable to high external debt, limited export diversification, and fluctuating global demand.⁶

According to the US Investment Climate, structural barriers, including regulatory uncertainty, slow approval processes, and governance concerns, which continue to deter investors.⁷ However, there has been improved investor sentiment in 2024–2025 due to debt-restructuring progress and capital-market reforms. Sri Lanka must continue fiscal and institutional reforms to recreate a predictable, investor-friendly environment.

Trade remains heavily concentrated, with apparel, tea, rubber, and tourism dominating exports. The recent U.S. tariffs are a significant risk, with potential cost increases for Sri Lankan exports and reduced market competitiveness.

Link to SDGs/International Commitments

- SDG 8 (Economic Growth): Progress is partial due to persistent structural constraints.
- SDG 17 (Partnerships): Sri Lanka demonstrates positive engagement through the IMF, World Bank, and bilateral debt negotiations.
- International commitments: Debt restructuring efforts indicate alignment with macroeconomic stabilization commitments under the IMF.

4.1.2 Poverty (Income per Capita and Vulnerability)

Sri Lanka shows signs of macroeconomic stabilization following the 2022 crisis, but poverty remains significantly above pre-crisis levels. The World Bank estimates that the people in poverty nearly doubled during the crisis and remains above 20%, with projections suggesting it will stay above 22% through 2026 without stronger, more inclusive growth.⁸ The combined effects of hyperinflation, reduced purchasing power, and falling real incomes pushed large numbers of households into hardship. By 2024, GDP per capita was about USD 4,516,⁹ but this figure hides the ongoing hardship, as food inflation, energy prices, and stagnant wages continue to affect living standards. While GDP growth is expected to reach 3.5 % in 2025,¹⁰ this growth is still slow due to the 2022–2023 economic contraction.

This hardship is clearly seen at the household level. In a 2023 report, Al Jazeera highlighted the case of Sujeewa, a mother of three who explained that her family could no longer afford basic food items after prices tripled. She said the unaffordable prices forced them to reduce daily meals, sometimes eating only once a day. The charity supporting her mentioned that more than half of Sri Lankan families had reduced their food and children's food intake because inflation had reduced their purchasing power. Families that were not considered poor before the crisis were suddenly

pushed into vulnerability as their incomes could no longer cover essential needs.¹¹ We think it is important to highlight the story of impoverished families to understand the extent of poverty and lack of progress on SDG 1.

The SDG Progress Report (2024) identifies national multidimensional poverty at 16% and shows little improvement between 2023 and 2024, marking SDG 1 (No Poverty) as regressing. The decline in public spending on education, health, and social protection, from 36.72% of total expenditure in 2020 to 31.1% in 2023,¹² has further limited the state's capacity to protect vulnerable households. More than half of the population now experiences vulnerability, highlighting how slowly living conditions are improving despite macro-level gains. Poverty will remain present without sustained growth and stronger social protection measures.

Link to SDGs/International Commitments

- SDG 1: Reversals in poverty reduction progress following the crisis.
- SDG 10: Persistent horizontal and regional inequalities.
- IMF/EFF commitments: Focus on stabilizing inflation and restoring real incomes is aligned with broader poverty-reduction goals.

4.1.3 Labor Market and Unemployment Challenges (*Youth Unemployment, Skills Mismatch, Labor-Export Dependence*)

Sri Lanka's labor market looks stable, with an unemployment rate of 3.8% in Q1 2025. However, there are structural pressures, especially for youth, women, and graduates.¹³ The Labor Force Survey (Q1 2025) reports youth unemployment at 19.7%, with young women facing a significantly higher rate of 27.3%. Unemployment among young adults aged 25–29 also remains high at 10%, while individuals with higher levels of education experience unemployment rates of 6.1%, rising to 8.2% for women.¹⁴ These show that even with increased educational attainment, young people, particularly women, still struggle to get employed.

A major reason for this problem is the growing skills mismatch between what the education system teaches and what employers need. According to the World Bank, many graduates enter fields with limited job creation, while employers report gaps in digital skills, English proficiency, problem-solving abilities, and technical knowledge.¹⁵ This mismatch contributes to graduate underemployment and reduces overall productivity, at a time when Sri Lanka needs a stronger and more flexible workforce.

A 2025 study on youth migration after Sri Lanka's economic crisis shows that many young graduates struggle to find stable jobs, even after completing their degrees. The study found that young women face some of the highest barriers, including fewer job opportunities that match their qualifications. Many participants reported feeling discouraged after months of unsuccessful job searching, which has pushed more young people, especially educated women, to think about migrating for work. The research shows that the jobs available in Sri Lanka often do not match the skills that educated youth have, leading to frustration and a desire to seek better opportunities abroad.¹⁶

These labor-market pressures have also pushed many skilled and educated youths to seek work abroad. More than 300,000 Sri Lankans travelled overseas for employment in 2024,¹⁷ including large numbers of STEM graduates, medical professionals, and IT specialists. This growing brain drain is happening just when Sri Lanka needs its talent base to support post-crisis recovery. Remittances, amounting to US\$6.6 billion in 2024,¹⁸ have become an important source of foreign income, but they also show the country's reliance on labor migration rather than creating enough quality jobs at home.

Link to SDGs and Agenda Goal 2

- SDG 8 (Decent Work & Economic Growth): High youth unemployment, especially for women, indicates only partial progress. NEET improved, but decent work and productivity indicators are regressing.
- SDG 4 (Quality Education): Skills mismatch shows weak alignment between upper-secondary/tertiary education and the needs of a modernized economy.
- International Labor Organization Decent Work Agenda: Heavy reliance on overseas employment signals insufficient domestic job creation.

4.1.4 Politics (Corruption)

Sri Lanka's history has been characterized by corrupt leaders and bureaucrats, often using state money for personal use while the country suffers from economic issues and poverty.¹⁹ One of the notable recent corruption cases was of the former president Ranil Wickremesinghe, who is the first president to be arrested and criminally charged in Sri Lankan history as of August 2025.²⁰ He was accused of misusing public funds, around \$59,000 USD, for personal use.²¹ There is a similar trend with previous former officials and leaders.²²

Sri Lanka has experienced mixed progress on SDG 16 Peace, Justice and Strong Institutions. In particular, the reversal of progress on SDG 16.5.1 related to bribery is concerning because of domestic corruption issues.²³ This is further supported by the country's Corruption Perception Index scores that have gradually worsened over the years. In 2022, Sri Lanka ranked 101 out of 180 countries, while in 2023 its position decreased to 115th.²⁴ In 2024, Sri Lanka's ranking further decreased to the 121st position.²⁵

To reduce corruption, we suggest focusing on poverty, unemployment, and debt issues to improve the economic and social mobility of our citizens. We want to ensure that wealth is equitably distributed and is not solely concentrated in the hands of the elite. We also propose implementing accountability and transparency measures. Following the World Bank's approach to anticorruption efforts, we aim to use technology and transparent data to increase accountability and prevent money laundering by government officials, while enforcing whistleblower protections.²⁶

4.2 NDP Goal 2: Climate Prosperity

Aligned SDGs:

SDG 1 (End Poverty), SDG 7 (Affordable and Clean Energy), SDG 13 (Climate Action), SDG 15 (Life on Land)

What is the Agenda Goal?

Our agenda goal is focused on climate resilience by strengthening Sri Lanka's climate change adaptation and mitigation strategies. There are two components, including the agriculture sector and energy production. A key aspect is addressing the vulnerability of marginalized groups to climate change and improving socio-economic outcomes by addressing labor shortages and rural poverty. Previous climate-specific plans, such as the Sri Lanka National Climate Prosperity Plan, have focused on the concept of "climate prosperity."²⁷ This concept aims to "maximize socioeconomic outcomes" and "become resilient to climate change" by "leveraging the maximum of domestic renewable energy resources and nature-based solutions."²⁸ We want to incorporate the same concept of "climate prosperity" into this NDP because it accounts for the socio-economic needs of the local population in its environmental focus.

The overarching climate prosperity goal connects to SDG 13 Climate Action. Sri Lanka has made overall positive progress on SDG 13 by incorporating this goal into national policies and frameworks.²⁹ Previous climate-related policies on greenhouse gas emission reporting and strategies to reduce national disaster risks helped progress on this SDG.³⁰

We acknowledge that Sri Lanka has various environmental challenges, such as marine pollution, ocean acidification, and fisheries exploitation.³¹ We suggest that the Sri Lankan government cooperate on a separate maritime-centered plan with the International Maritime Organization and local NGOs to address the reversal of progress on SDG 14 Life Below Water.³² However, this NDP will not discuss marine ecosystem threats because we want to focus on the economic, environmental, and social effects of the agricultural sector, which approximately 30 percent of Sri Lanka's population relies on.³³

Our main priority is protecting the sustainability of our agricultural industry as Sri Lanka faces land degradation and labor shortage challenges. Sri Lanka is highly vulnerable to climate change as it faces increased average temperatures, unpredictable precipitation, and water scarcity.³⁴ The hotter temperatures, droughts, and floods threaten food security and the livelihoods of low-income and rural agricultural communities.³⁵ We want to address the effects of climate change on vulnerable populations, such as small-scale farmers. The second priority within our Climate Prosperity goal is sustainably producing energy and limiting CO₂ emissions by shifting to clean energy sources and departing from fossil fuel reliance in electricity power generation.

4.2.1 Priority: Agriculture Sector

Issue: Risks to the sustainability of the agriculture sector and the labor shortage issue

Sub-Goal: 1) Protecting Sri Lanka's agricultural industry and food security, 2) Addressing the labor shortage and rural poverty, and 3) Addressing the needs of vulnerable populations working in the agricultural sector

The sub-goal focused on the agricultural sector connects to SDG 15 Life on Land, where Sri Lanka has experienced mixed progress. Sri Lanka has faced a reversal of progress on particular targets related to biodiversity loss and forest management. To reach targets within SDG 15, Sri Lanka

must accelerate progress on SDG 15.1, Terrestrial and freshwater ecosystems, and SDG 15.2, Sustainable forest management.³⁶

The agriculture sector is a key sector in this NDP because Sri Lanka is heavily dependent on rural agriculture for domestic food production. Around 80 percent of domestic food production originates from rain-fed and irrigated agriculture, and 30 percent of Sri Lanka's citizens rely on this sector. The sustainability of the agriculture industry is at risk due to unpredictable weather patterns, land degradation, and the labor shortage. Climate change is driving changes in rainfall patterns, droughts, and floods that risk the sustainability of Sri Lanka's agriculture by endangering crop cultivation and food security. For instance, Sri Lanka experienced heavy rainfall and flooding in 2015, but a year later, agriculture suffered from the most severe drought in decades, leading to a decrease in crop cultivation by 35 percent.³⁷ Land degradation is a related environmental issue, and as of 2024, around half of Sri Lankan land faces issues with soil fertility and erosion, which decreases agricultural productivity.³⁸

The labor shortage in the agricultural sector is a concerning issue because of the domestic reliance on food and livelihood, and its importance for rural economic activity.³⁹ Considering national unemployment challenges, rural unemployment is a significant issue because it contributes to 80% of the total rates.⁴⁰ In particular, the rural youth have the highest unemployment rate, and 45% of Sri Lanka's impoverished population includes individuals younger than 25 years old.⁴¹ Rural poverty is an economic issue that poses a risk to maintaining a sustainable agriculture sector. About 85% of Sri Lanka's impoverished citizens reside in rural agriculture-based regions that depend on this sector for economic activity.⁴² Another factor that contributes to the labor shortage is low wages as service workers receive double the wage. There are additional issues affecting the desirability of agricultural employment because of the limited safeguards of workers rights and the exploitation of foreign South Asian migrants who are filling in the employment gap.⁴³

Considering the prominence of rural poverty, it is important to link the progress on SDG 1 No Poverty to our Climate Prosperity goal, which accounts for socio-economic conditions. There are particular targets within SDG 1 that link climate resilience, poverty, and vulnerable populations together. For instance, SDG Target 1.2 aims to “reduce poverty rates by 50%,” and SDG Target 1.3 aims to ensure “equal rights to economic resources,” including land ownership.⁴⁴ As of 2024, Sri Lanka needs to accelerate progress towards reducing national poverty (Target 1.2) and improving access to social services (Target 1.3).⁴⁵ Within SDG 1, Target 1.5 aims to “build resilience to environmental, economic and social disasters.”⁴⁶ Between 2015 and 2024, Sri Lanka has regressed in its progress, specifically toward Target 1.5.2 related to economic loss resulting from disasters.⁴⁷

4.2.2 Climate Change Effects on Vulnerable Populations

Sri Lanka's vulnerable populations, such as local farmers, disproportionately face the worst of climate change.⁴⁸ In order to understand the needs of vulnerable communities, we need to listen to first-hand accounts about how climate change has influenced their livelihoods and socioeconomic status. In 2025, local news sources cited stories about Sri Lankan farmers suffering from unpredictable rainfall. One small-scale farmer, Abyekoon, states that, “I planted tea expecting rain, but it's been a prolonged drought instead. Water sources have all dried up, and my plants are dying. As children, we knew and experienced the seasons, but not anymore.”⁴⁹ Farmers like

Abyekoon depend on tea plantations to support their livelihoods. This is just one example of local communities facing threats to their economic security and livelihoods. The destruction of crops harms food security by giving rise to malnutrition and poorer health outcomes among vulnerable communities.⁵⁰

Tenant farmers like Ravindra Lamosia are financially impacted by unexpected flooding and droughts that destroy their crops. Lamosia told journalists that a drought caused the loss of his farm's rice paddy and eliminated his income source. As a result, Lamosia dealt with financial challenges as he faced debt and farm loans, which prompted Lamosia's wife to emigrate to Lebanon for work to cover their family's income and debt repayment.⁵¹

In Sri Lanka, women accounted for 36 percent of the agricultural workforce in 2021.⁵² Female farmers play an important role by planting and harvesting the crops, but their livelihoods are at increased risk due to climate change. Saman Padmalatha is another example of a female Sri Lankan farmer emigrating to the Middle East as a consequence of climate effects on small-scale farming. About twenty years ago, her family's farm lost vital crops from a drought, which prompted her to emigrate to Saudi Arabia and Kuwait to find overseas employment.⁵³ Padmalatha sent money to her family to support their loan repayment, house construction, and farm expansion. Her family relies on their farm-harvested crops, such as paddy rice and various vegetables, for food security for their household. Padmalatha told journalists that she tried to adjust the type of crops planted for the unpredictable weather and droughts, "but now it's raining, and rains are not good for soya. Nothing is certain until the harvest is taken inside."⁵⁴ The stories from Lamosia's wife and Padmalatha are just two examples of female farmers who are vulnerable to climate change.

A study from a think tank, SLYCAN Trust, shed light on the emigration motivations for Sri Lankan migrant workers living in Kuwait. Out of the 57 Sri Lankans who were interviewed, 63% claimed that a motivating factor for overseas employment was the effects of climate change. Around 25% of interviewees worked in Sri Lanka's agriculture sector before moving to Kuwait.⁵⁵

4.2.3 Second Aspect of Climate Prosperity: Energy Production Overview

Issue: Dependence on Fossil Fuels for Electricity Generation and Increasing Carbon Footprint

Sub-Goal: 1) Reduce reliance on imported fossil fuels, 2) Reduce carbon footprint from energy production, 3) Increase use of renewable energy sources to 50% of total sources for electricity generation, and 4) Enhance reliability of the national power grid through infrastructure and capacity improvement.

To support our overarching climate prosperity goal, we will provide a brief overview of energy production and its environmental effects. Sri Lanka is highly dependent on the use of imported fossil fuels for electricity generation.⁵⁶ As a result, residents deal with the consequences of expensive costs to generate electricity costs, high tariffs, and an unreliable power grid, particularly impacting rural areas.⁵⁷ In 2015, around 46% of domestic energy production originated from fuel oil, and about 24% came from coal.⁵⁸ A similar trend has continued in recent years as Sri Lanka continues to rely on fossil fuels in energy production. As of 2023, coal and oil comprise 50% of the total energy sources of electricity generation.⁵⁹ Hydropower accounted for about 38%, while wind and solar energy account for ten percent together.⁶⁰

Burning fossil fuels, particularly fuel oil, is costly for the government and burdensome to consumers.⁶¹ Regarding the combustion of fuel oil, the monthly incremental cost is approximately 40 million USD.⁶² The implications of these costs are an economic burden on citizens through bills or taxes to support government finances for importing oil used for electricity generation.⁶³

The use of fossil fuels in electricity generation poses threats to the environment through the carbon footprint. The International Energy Agency notes that Sri Lanka is experiencing an upward trend of CO₂ emissions released from fuel combustion.⁶⁴ There was a 60% overall increase between 2000 to 2023.⁶⁵ Oil is the main source of CO₂ emissions, comprising 67% of total emissions, while coal accounts for 32%.⁶⁶ The electricity and heat sector emits 45% of the CO₂ emissions from total energy production.⁶⁷

Since 2015, Sri Lanka has made the most progress on particular targets within SDG 7 Affordable and Clean Energy.⁶⁸ As of 2024, 99.9% of citizens have electricity access, and the whole country is expected to have access soon.⁶⁹ Unfortunately, Sri Lanka made less progress on targets related to reliance on clean energy and renewable energy. To achieve SDG 7, Sri Lanka must accelerate progress to achieve targets on SDG 7.1 Access to Energy Services, SDG 7.2 Share of Renewable Energy, and SDG 7.b Investing in Energy Infrastructure.⁷⁰ It should maintain current progress to achieve the target on SDG 7.3 Energy Efficiency and SDG 7.a International cooperation on energy.⁷¹ While Sri Lanka has made progress in electricity access, there are still issues with the reliability of the electricity supply as power outages occur.⁷² In February 2025, citizens experienced a complete blackout and criticized the power grid, which failed when a monkey encountered the physical grid infrastructure.⁷³

4.3 NDP Goal 3: Social Sector

Aligned SDGs:

SDG 3 (Good Health and Well-being), SDG 4 (Quality Education), SDG 2 (Zero Hunger), SDG 1 (No Poverty), SDG 5 (Gender Equality), SDG 10 (Reduced Inequalities)

What is the Agenda Goal?

The agenda goal under this section is to rebuild Sri Lanka's human capital and strengthen social resilience by improving access, equity, and quality in education and health services following the 2022 economic crisis. It focuses on restoring essential social spending, addressing regional and income-based disparities, and protecting vulnerable groups from worsening poverty, malnutrition, and unequal learning outcomes. This involves strengthening nutrition support, revitalizing public health service, and ensuring that education systems provide equal opportunities and market-relevant skills that support long-term economic and social recovery.

Current Issues in Sri Lanka – Social Sector Overview

Sri Lanka's social sector continues to experience the effect of the 2022 economic crisis, with food insecurity, reduced social spending, and health and education budgets likely to keep poverty above 20% until at least 2026. Although Sri Lanka has historically performed well on human development indicators, such as high literacy and low under-five mortality rates. The SDG

Progress Report 2024 shows that only 2 out of 17 SDGs are currently on track, with many social goals progressing too slowly.

Public investment in health, education, and social protection has fallen, weakening service delivery just as household needs have increased. Unequal access and quality in both health and education persist across regions, income groups, and gender, creating widening disparities in outcomes.

This issue is critical for the NDP: even where headline indicators look stable, the underlying access, quality, and financial protection gaps are widening. These dynamics directly challenge Sri Lanka's ability to leverage its human capital for sustainable growth and underscore the need for a stronger, better-funded, and more resilient social sector.

4.3.1 Health (*Malnutrition, childbirth, and access to adequate health care*)

Sri Lanka continues to perform well on maternal and child health, with under-five mortality falling to about 6.1 per 1,000 live births in 2023 and maternal mortality remaining low at around 29–30 deaths per 100,000 live births.⁷⁴ Universal skilled birth attendance continues to support high survival rates, and access to reproductive health services has slightly improved even through the crisis. Fertility has declined to about 2.0 births per woman,⁷⁵ reflecting delayed childbearing and an ageing demographic profile.

Despite these achievements, malnutrition remains one of the country's most serious health challenges. UNICEF data for 2023–2024 show wasting levels of 9–10% among children under five, one of the highest rates globally for an upper-middle-income country. The SDG Progress Report confirms that Sri Lanka is off track on SDG 2 (Zero Hunger) because nutrition outcomes have not significantly improved and may be worsening in vulnerable and low-income districts.

A 2023 report from Save the Children explains how this nutrition crisis affects everyday families. It describes the case of Suren and Preethika, parents in Colombo, who can no longer afford basic nutritious foods for their three children because of rising food prices. They explained that items like eggs and yogurt are now too expensive, so they prioritize feeding their one-year-old. Their 11-year-old daughter, Thisuri, says that she and her 8-year-old sister do not eat yogurt because their parents can only afford it for the baby. Their experience reflects national data showing that half of all Sri Lankan households have reduced children's food intake, and nine out of ten families cannot consistently provide nutritious meals.⁷⁶

These nutrition problems are deeply connected to the economic crisis. Food inflation, declining household income, and reduced access to diverse foods have weakened children's diets, especially in poorer areas. This situation also shows vulnerabilities in Sri Lanka's health system. While the public system is free and widely available, financial protection has weakened. WHO estimates show that 40–45% of total health spending now comes from out-of-pocket payments, making it difficult for lower-income households to access consistent care.⁷⁷ The crisis also led to medicine shortages and migration of healthcare workers, with the poorest districts affected the most.

These issues show that even though Sri Lanka maintains strong maternal and child survival outcomes, the health system has become fragile. Nutrition, financial protection, and equitable access to quality care now require urgent attention under the National Development Plan.

Link to SDGs/International Commitments

- SDG 3: Good Health and Well-being: On track or close to target for child and maternal mortality, but off track on NCDs, mental health, and nutrition-related indicators.
- SDG 2: Zero Hunger: Child wasting and stunting remain well above levels expected for Sri Lanka's income category, and progress is too slow to meet 2030 targets.
- SDG 5: Gender Equality: Strong performance in safe childbirth and girls' education, but women's health is still affected by unpaid care burdens, GBV risk, and unequal access to economic opportunities, highlighted in UNFPA and World Bank documents.

4.3.2 Education (*Unequal access to education*)

Sri Lanka's equal access to quality education is still not guaranteed, caused by the 2022 economic crisis. Key challenges now revolve around access and quality, particularly for rural and low-income communities.

Despite high enrollment, regional inequality remains significant. The SDG Progress Report shows that students in rural districts face persistent shortages of qualified teachers, limited access to science laboratories, weak digital infrastructure, and lower exam performance compared to students in urban areas.⁷⁸ Many rural schools still lack essential facilities such as IT laboratories, English instructors, and reliable electricity, restricting students' ability to meet national learning standards.

Economic barriers also influence educational access. According to the World Bank, many low-income families were forced to reduce education spending during the economic crisis, cutting back on transport, books, tuition, and even school meals.⁷⁹ Rising living costs increased absenteeism and temporary dropouts, particularly among children from the poorest households. These pressures align with the SDG report, which links weak recovery in household income to stalled progress in education outcomes.

Digital inequality is another major concern. Students in urban areas are more likely to have internet access, computers, and stable electricity, while children in rural communities experience frequent interruptions and limited connectivity. The crisis made these gaps more visible, creating disparities in access to digital learning tools, especially during periods of remote learning.

Gender outcomes are generally positive, with high enrolment and completion rates for girls, but hidden barriers persist for girls in rural and low-income households. Long travel distances to school, limited access to safe transport, and increased household responsibilities during economic problem affect attendance and long-term educational opportunities.

Learning outcomes also vary sharply across regions. Although primary completion 96.7% and lower-secondary completion 93.5% remain high, upper-secondary completion has declined, falling from 75.9% in 2015 to 65.4% in 2022.⁸⁰ Teacher qualification gaps persist, particularly at the upper-secondary level, where only 78% meet minimum requirements.

This shows that the real problem of Sri Lanka's education system is unequal access and uneven quality of education. Addressing these disparities is essential to achieving inclusive, resilient, and skills-aligned growth under the National Development Plan.

Link to SDGs/International Commitments

- SDG 4: Quality Education: High access, but off-track on quality and equity, especially for disadvantaged groups and post-crisis learning loss.
- SDG 10: Reduced Inequalities: Differences in educational quality by region and income reinforce intergenerational inequality.
- SDG 1: No Poverty: Education is a key pathway out of poverty, but crisis-driven dropouts and underinvestment risk reversing gains.

5.0 KEY SECTORS AND STRATEGIES IN NDP AGENDA

5.1 Summary of NDP Objectives and Strategies in Key Sectors		
Key Sector	Objective	Proposed Strategy
Labor Market and Unemployment	Reduce unemployment among youths, women, and graduates.	Align education and training with employer needs through a national skills-mapping framework.
	Strengthen skills and training opportunities.	Update universities and TVET curricula with digital, technical, and problem-solving skills, and expand access to training in rural districts.
	Increase local job opportunities.	Support SMEs and expand sectors such as ICT and tourism to create more domestic employment pathways.
Agriculture	Address low wages and protect agricultural workers from exploitation.	Empowering farmers to increase their wages through community-led discussions. Incorporate legal rights awareness campaigns and trainings by advocacy groups.
	Promote climate resilience and protect vulnerable communities.	Adopt sustainable agriculture practices. Educate rural communities on these practices and benefits. Communicate with rural farmers about climate change impacts on their livelihoods.

5.1 Summary of NDP Objectives and Strategies in Key Sectors

	Strengthening drought resilience to protect crops and farmer livelihoods	Improving irrigation systems and using crop rotations. Expand government programs for financial assistance and support for drought preparedness.
Health	Reduce child wasting and improve nutrition.	Strengthen community nutrition programs, restore school meals, and support pregnant mothers and children
	Improve access to essential healthcare.	Prioritize upgrades in districts with a critical shortage in staff, equipment, and medicines.
	Reduce out-of-pocket health spending.	Ensure a reliable supply of essential medicine in public hospitals and strengthen procurement and stock-tracking systems.
Education	Address economic barriers in access to quality education and increase literacy rates to 100%.	Create an application focused on scholarship sponsorships for vulnerable students in public primary schools (following the model of the Alter Youth application from Bangladesh).

5.2 Detailed Strategies to Achieve NDP Goals

5.2.1 Strategies for the Labor Market and Unemployment Sector

In the labor market, we want to specifically address the issues of unemployment among the youth, women, and graduates. The priority for this sector is to reduce these gaps by fixing the skills mismatch, improving access to training, and expanding local job opportunities.

We suggest creating a national skills-mapping framework that clearly links what students learn to what employers need. This includes updating University and Technical and Vocational Education and Training (TVET) curricula to reflect industry needs and focusing on digital skills, English, technical training, and problem-solving. Improving access to training in rural areas is also important. We suggest increasing the number of training centers, providing transport support, and using mobile training units to reach remote communities. Working closely with employers and industry groups will ensure that training remains relevant and leads to real job opportunities.

Reducing Sri Lanka's dependence on labor migration will require creating more local employment pathways. This can be done by supporting Small and Medium-sized Enterprises (SMEs), helping the ICT and tourism sectors grow, and expanding internship programs in universities. These steps will give young people clearer options to build careers in Sri Lanka rather than feeling forced to leave. Ethical labor-migration programs will still be supported for those who choose to migrate,

but the aim is to reduce the number of people, especially highly skilled youth, leaving due to lack of opportunities at home.

These strategies need to be developed through a partnership with the Ministry of Labor, the Ministry of Education, TVET authorities, the Board of Investment, the International Labour Organization (ILO), private-sector partners, and youth and women's organizations. Together, they can shape targets such as reducing youth unemployment, closing the gender unemployment gap, increasing TVET participation, and expanding access to digital-skills programs.

5.2.2 Strategies for the Agriculture Sector

As we create strategies to improve the sustainability of the agriculture sector, we emphasize the importance of protecting vulnerable groups like small-scale farmers. To address the low wages of agricultural workers, we suggest adopting a policy recommendation from the Fair Labor Association to raise wages for small-scale farmers.⁸¹ To address the issues of agricultural worker exploitation in Sri Lanka, we suggest protecting worker rights by following the Fair Labor Association's approach, which includes rights awareness and empowering farmers to increase their wages.⁸² We support an increased effort to communicate with rural farmers about the impacts of climate change on their livelihoods and understand what social services may help them. Previous plans did not account for the needs of vulnerable populations, so we propose a farmer-led discussion on topics of wages, working conditions, food security, and legal worker rights protections. The discussion can involve civil society groups, lawyers, and the government.

While climate change continues to threaten food security, we suggest promoting climate resilience by encouraging farmers to adopt sustainable agriculture practices.⁸³ It is important to educate rural communities and farmers about the various practices and their benefits. To improve resilience against unexpected droughts, we encourage improving irrigation systems and using crop rotations.⁸⁴ Another aspect is expanding government action through financial assistance for farmers and programs that support drought resilience and drought preparedness.⁸⁵ Considering weaknesses in previous strategies, we suggest improving inter-agency coordination and monitoring mechanisms to better implement existing climate policies at local and national levels.

5.2.3 Strategies for the Health Sector

Sri Lanka's health sector is still recovering from the economic crisis, and many families continue to struggle with nutrition, medicine shortages, and unequal access to care. The main priority here is to rebuild the system in a way that protects vulnerable households and ensures everyone can access basic, good-quality health services. To achieve this, we suggest addressing the nutrition problem. This will involve strengthening community nutrition programs, restoring school meals in poorer districts, and securing funding for support programs that focus on pregnant mothers and children. These actions will help reduce high levels of child wasting and improve overall nutrition.

Improving access to healthcare also requires making sure health facilities are properly equipped. The process begins with assessing which districts face the biggest shortages in staff, equipment, and medicines, and the prioritizing upgrades in those areas. A key part of this is reducing the high out-of-pocket spending many families face. We recommend ensuring a steady and reliable supply of essential medicines in public hospitals, since families often pay out of pocket. Strengthening

the procurement system, for example, through digital tracking, will help prevent medicine shortages that affected many families during the crisis. Introducing digital health tools, starting with electronic medical records in district hospitals, will also make services more organized and reduce delays.

These strategies will need input from the Ministry of Health, Ministry of Finance, WHO, UNICEF, public-health organizations, and community groups. Through consultation, Sri Lanka can set realistic targets, such as reducing child wasting, lowering out-of-pocket spending on healthcare, and improving access to essential health care services and medicines across all districts.

5.2.4 Strategies to Improve Education Access

To address economic barriers in education access, we suggest following a strategy from Bangladeshi civil society to improve access to quality education and prevent dropouts. Alter Youth is a Bangladeshi application focused on scholarship sponsorships for vulnerable students in public primary schools.⁸⁶ The application partners a sponsor with a student who has a “single mother family, disabled father,” or “orphan” background. The program addresses digital inequity by providing participating families with a mobile phone to create a bank account for the scholarship money.⁸⁷ Alter Youth appeals to sponsors overseas or from the diaspora population. Sponsors pay around 15 US dollars or 1700 Bangladeshi Taka on a monthly basis to fund the scholarship. The partnership aims to increase literacy rates for the future generation.⁸⁸

We suggest the creation of a similar application focused on partnering sponsors with students in Sri Lankan public primary schools. The application may be created through a partnership between the Ministry of Education, technology experts, and civil society groups. Organizations like the Coalition for Educational Development could select the participating schools and work with local teachers to select vulnerable students through similar criteria. We suggest that the Ministry of Education ascertains the monthly educational costs for students in rural and urban regions through a detailed investigation. We suspect rural, impoverished students may require additional scholarship money for tuition, transportation, and meals, so the program can account for this by adjusting the scholarship rates for rural schools. We recommend setting a target of increasing primary school literacy rates to 100%.

6.0 NDP STRATEGY GUIDELINES FOR IMPLEMENTATION

This section explains how our National Development Plan will be carried out over the next five years. The goal is to make the implementation practical, coordinated, and outcome-focused, especially for rural and vulnerable communities.

6.1 Budget

Sri Lanka will use a mixed financing approach. The national budget will support core programs in agriculture, jobs, health, and education. We ask international partners like the IMF, World Bank, Asian Development Bank, WHO, UNICEF, and International Labour Organization to provide technical assistance and targeted funding for areas such as climate resilience, social protection, and skills development. Private-sector investors will support job creation, renewable energy, ICT, and SME growth. All budget decisions must follow NDP priorities and avoid wasteful or non-essential projects.

6.2 Timeline

- Our NDP runs from 2026 to 2031.
- 2025: Preparation year (set baselines, finalize plans with stakeholders, agree on budget).
- 2026–2031: Implementation through annual work plans.
- End of each year: Annual progress review and adjust targets.
- 2028: Mid-term progress assessment by national and local governments
- 2031: Final evaluation to guide the next plan.

6.3 Implementation

Implementation must occur from the national level down to districts and rural communities. The Ministry of Finance, Planning, and Economic Development will coordinate activities, while sector ministries carry out programs in labor, agriculture, health, and education. District and local governments will translate national goals into local action plans. To avoid rural neglect, a small Rural Implementation Support Team will monitor challenges in remote areas and solve problems quickly. Local communities, farmers, schools, and health clinics will be active partners in implementing this plan.

6.4 Monitoring and Data Collection

Monitoring will be simple and evidence based. A national results framework will track indicators for youth employment, poverty, child wasting, school completion, agricultural resilience, and energy reliability. Each project must identify 3–5 indicators with a baseline and yearly target. Ministries and districts will submit quarterly updates through a digital reporting system. An annual NDP Progress Report, created through intergovernmental collaboration, will be shared with investors and key stakeholders. Independent reviews by universities and research institutes will help verify results.

6.5 Delegation of Responsibilities

A high-level NDP Committee led by the President or Prime Minister will set the practical agenda of responsibilities and address challenges. A Technical Secretariat in the Ministry of Finance, Planning, and Economic Development will manage day-to-day coordination and reporting. Four sector working groups: Labor, Agriculture, Health, and Education, will bring together government officials, local authorities, civil society, private sector, youth, and women's groups. Local committees in districts will ensure that community needs are heard and programs are delivered fairly.

6.6 Partnerships

Successful implementation requires working closely with:

- Local governments for service delivery.
- National ministries for budgets, staffing, and policy alignment.
- Communities such as farmers, youth, and women's groups.
- Private-sector investors for job creation and innovation.

- International institutions (IMF, World Bank, UN agencies) for funding and technical assistance.

All partners must work within the NDP framework to avoid duplication and ensure resources support national priorities.

7.0 CONCLUSION

Our NDP provides a clear path for Sri Lanka to move from crisis recovery to stable, long-term development. The main takeaway is that progress will only happen if we improve intergovernmental coordination, focus on practical delivery, and center development needs of rural and vulnerable communities. Our strategies across jobs, agriculture, health, and education aim to reduce unemployment, protect farmers from climate shocks, strengthen essential services, and close the gap in education quality. We plan to rebuild trust, improve living standards, and reduce the pressure that forces young people to migrate.

However, we recognize that implementation will not be easy. Sri Lanka faces limited fiscal space, weak data systems, coordination problems across ministries, and a gap in rural-focused development. These weaknesses mean that the NDP must remain realistic, flexible, and grounded with evidence. Success will depend on strong political commitment and consistent follow-through.

Moving forward, we need collective action. The national government must set direction and ensure ministerial cooperation. Local governments must turn national goals into real outcomes for communities. We need farmers, youth, women's groups, teachers, and civil society to shape solutions at the local level. The private sector must support job creation and innovation, while international partners provide technical and financial support aligned with national priorities. If all actors cooperate on our goals, Sri Lanka can build a more resilient, inclusive, and secure future.

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9.0 APPENDIX

Index of Sri Lanka's Progress SDGs (*Sri Lanka SDG Progress Report 2024, published February 2025*)

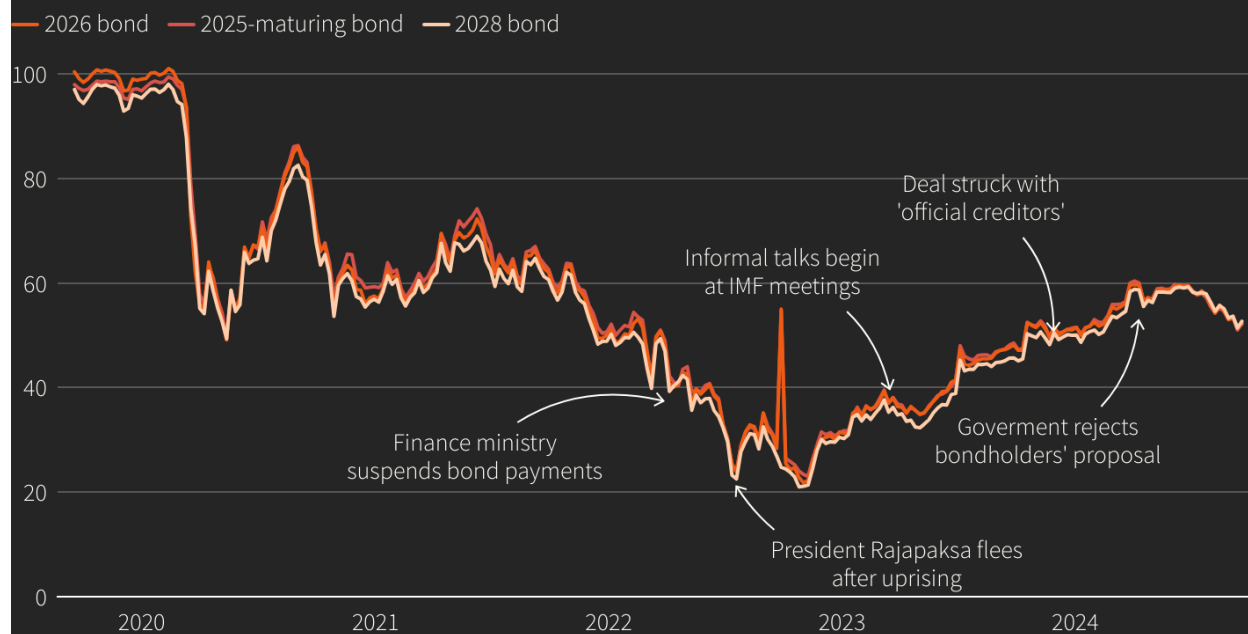
SDG	Status (2024)	Progress Notes
SDG 1 – No Poverty	Regressing	Poverty above 20 percent; multidimensional poverty at 16 percent; reduced social spending; crisis lowered household incomes; limited fiscal space for social protection.
SDG 2 – Zero Hunger	Severely Off Track	Child wasting at 9–10 percent (UNICEF 2023–24); persistent food insecurity; nutrition indicators worsening.
SDG 3 – Good Health & Well-Being	Mixed Progress	Strong maternal and child health outcomes, but weakened financial protection, medicine shortages, and rising NCD burden.
SDG 4 – Quality Education	Moderately Off Track	High enrolment but major disparities in quality, digital access, and teacher distribution across regions.
SDG 5 – Gender Equality	Mixed Progress	Strong reproductive health access, but unpaid care burdens and the crisis disproportionately affect women.

SDG 7 – Affordable and Clean Energy	Mixed Progress	Significant improvement in electricity access since 2015 (SDG 7.1.1). On track for 100 percent grid connection. Must accelerate progress on SDG 7.1 (energy services), SDG 7.2 (renewable energy share), and SDG 7.b (investment in energy infrastructure). Must maintain momentum on SDG 7.3 (energy efficiency) and SDG 7.a (international cooperation).
SDG 8 – Decent Work & Economic Growth	Mixed Progress	Recovery underway, but youth unemployment, skills mismatch, and reliance on labour migration persist.
SDG 9 – Industry, Innovation & Infrastructure	Slow Progress	Export diversification remains limited; industrial upgrading and innovation capacity are lagging.
SDG 10 – Reduced Inequalities	Stagnating	Regional and income disparities continue; inclusive recovery remains slow.
SDG 13 – Climate Action	Overall Progress	Need to accelerate SDG 13.1 (resilience and adaptive capacity). Lack of progress on SDG 13.1.3 (local governments adopting disaster-risk reduction strategies aligned with national frameworks). Must maintain momentum on SDG 13.2 (climate change policies). UN DesInventar data show high numbers of deaths/missing persons due to natural disasters over the years.

SDG 15 – Life on Land	Mixed Progress	Reversal of progress on SDG 15.5 (biodiversity loss), SDG 15.a (resources for biodiversity), and SDG 15.b (forest-management resources). Need to accelerate SDG 15.1 (terrestrial and freshwater ecosystems) and SDG 15.2 (sustainable forest management).
SDG 16 Peace, Justice, and Strong Institutions	Mixed Progress	Reversal of progress on SDG 16.5.1 related to bribery is concerning due to domestic corruption issues.

Sri Lanka's economic collapse

Bonds slumped as country suffered first ever default, but have risen on restructuring hopes



Reuters | Marc Jones @marcjonesrtrs

Source: LSEG datastream